



INVESTMENT ENVIRONMENT

VARIABLES: Percentage of state capex spent on administration, per capita capital expenditure, commercial bank credit, capital formation, number of factories, industrial sickness, number of industrial workers per urban population in 15 to 59 group.

BIG STATES

RANK			RANK
2008		2008*	2007 2006 2005 2004
1	HIMACHAL PRADESH	2.79	3 2 4 4
2	GUJARAT	2.71	1 1 1 5
3	PUNJAB	2.27	8 6 3 1
4	TAMIL NADU	2.12	7 8 9 7
5	HARYANA	2.12	4 3 5 3
6	KARNATAKA	2.08	6 7 6 10
7	MAHARASHTRA	2.07	2 4 7 6
8	UTTARAKHAND	1.69	5 5 8 2
9	ANDHRA PRADESH	1.62	10 10 11 12
10	ASSAM	1.53	11 17 19 16
11	CHHATTISGARH	1.40	9 9 2 13
12	KERALA	1.36	16 16 16 14
13	JHARKHAND	1.31	12 13 12 11
14	MADHYA PRADESH	1.25	15 15 15 8
15	RAJASTHAN	1.16	13 11 13 15
16	JAMMU & KASHMIR	0.95	14 12 10 9
17	UTTAR PRADESH	0.83	18 14 14 17
18	ORISSA	0.82	17 19 18 19
19	WEST BENGAL	0.65	19 18 17 18
20	BIHAR	0.63	20 20 20 20

SMALL STATES

1	MIZORAM	10.30	6 7 3 1
2	PUDUCHERRY	4.75	1 1 6 6
3	GOA	3.85	2 4 2 3
4	DELHI	3.46	4 3 4 4
5	ARUNACHAL PRADESH	3.03	5 5 5 5
6	NAGALAND	2.28	7 9 7 7
7	MEGHALAYA	2.09	9 10 10 10
8	SIKKIM	1.72	3 2 1 2
9	TRIPURA	1.32	8 6 9 9
10	MANIPUR	0.87	10 8 8 8

UNION TERRITORIES

1	CHANDIGARH	4.49	2 2 1 1
2	DAMAN & DIU	3.03	4 3 3 4
3	DADRA & NAGAR HAVELI	1.78	1 1 2 2
4	LAKSHADWEEP	0.54	3 5 5 3
5	ANDAMAN & NICOBAR ISLANDS	0.45	5 4 4 5

Rank went down

Constant rank

Rank went up

Fastest Mover

1 PUNJAB

Robust Fundamentals

- Best overall since 2003
- Best in Agriculture, Consumer Markets, and Infrastructure since 2003
- Best in Macro Economy

There's a disquieting pattern to Punjab's paradoxical model of development. With its current growth rate of 6 per cent compared to the nation's robust 9 per cent, the state, which was the most prosperous in the 1970s, is now the second slowest growing economy. Its long-held claim to highest per capita income is history and the honour now rests with its one-time poor cousin Haryana. Worse, its human development indices in education and health are comparable only to some of the most backward states. Yet, if Punjab is clinging to the No.1 status in the overall development matrix, it is a result of the interplay of its historically strong fundamentals in agriculture, infrastructure, consumerism and resilience of its private sector.

Exemplifying such spirit is the way Punjab farmers have lately switched to laser levelers—a technology for field-leveling that ensures higher yields. While the '80s and '90s lost to militancy, poor governance, brazen populism and bureaucratic sloth and corruption pushed the state into a leader-to-laggard syndrome, the rulers have been borrowing recklessly to support a litany of doles. The debt burden has ballooned to Rs 56,688 crore, roughly half of the GDP. While the subsidy bill is pegged at Rs 4,800 crore a year, the interest on debt is eating another Rs 5,000 crore. The kitty is now left with no capital investment for education, health and service delivery. The debilitating effect is evident in the poor standards of government schools, which are hamstrung by 32,000 vacancies of teachers.

"The state is losing an opportunity to put its resources into the social sector," says Finance Minister Manpreet Singh Badal, who has been making a case for a partial rollback on subsidies but has cut no ice with Chief Minister Parkash Singh Badal.

Unlike the government sector, private enterprise is booming—as reflected in rising consumption levels. Also, powering the economy are NRI remittances worth



TAMIL NADU IS THE FASTEST MOVER

Improved ratings, political clout at the Centre derived from coalition politics and a large consumption base help concerted efforts to boost investments in the state.